Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Aldgate Property Group

Senior secured construction facility of A$84.0M, 41 Kent Street, Ultimo NSW

Prepared for Aldgate Property Group Pty Ltd
Prepared by Quillwood Credit Partners
Version 1.0, 30 April 2026
Non-binding, subject to credit approval
Reference: QCP-TS-2026-0430-ALD
Date: 30 April 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Transaction details

Borrower	Aldgate Property Group Pty Ltd
ABN	81 781 967 121
Registered address	Level 4, 88 Quay Street, Haymarket NSW 2000
Sponsor	Moretti Family Holdings Pty Ltd (Moretti family)
Directors	Marco Moretti, Elena Moretti-Hayes, Graham Tsang (Chair)
Lender	Quillwood Credit Partners
Property	41 Kent Street, Ultimo NSW
Date	30 April 2026
Version	1.0

Parties and property

This indicative term sheet is issued following review of the information memorandum dated 9 February 2026, the valuation by Brennan Whitlock Valuation Pty Ltd dated 6 March 2026, the quantity surveyor report by Cardew Hollis Quantity Surveyors Pty Ltd dated 13 March 2026, the audited financials dated 20 March 2026 and management accounts dated 15 April 2026. The Borrower has no relationship with Aldgate Logistics.

2. Proposed facility

Term	Indicative position
Facility	Senior secured construction facility
Limit	A$84.0M
Tenor	42 months (about 30 months construction, 12 months completion, leasing and exit)
Interest margin	3-month BBSW plus 5.25% p.a.
Establishment fee	1.50% of the limit (A$1.26M)
Line fee	1.00% p.a. on undrawn commitment
Repayment	From practical completion, via leasing and refinance or sale

Key facility terms

The facility will part-fund hard and soft costs for a 9-level A-grade office building of 16,000 sqm GFA and 13,600 sqm NLA, including finance costs and leasing incentives. Construction will be delivered by Calloway Construction Pty Ltd under a guaranteed maximum price contract of A$84.0M.

3. Sources and uses

Sources	A$M	% of TDC
Senior facility	84.0	52.5
Existing land equity	52.0	32.5
Cash equity to be injected	24.0	15.0
Total sources	**160.0**	**100.0**

Sources of funds

Uses	A$M	% of TDC
Land (valued)	52.0	32.5
Construction (GMP)	84.0	52.5
Finance, soft costs and leasing incentives	24.0	15.0
Total uses	**160.0**	**100.0**

Uses of funds

Total equity of A$76.0M comprises the land and A$24.0M of cash. The cash must be fully injected before first drawdown, after which the facility funds construction costs against certification by the quantity surveyor. Gross realisation value is A$184.0M, at a 6.50% capitalisation rate and assumed net face rent of A$880 per sqm. This implies LVR of 45.7% on GRV, 52.5% on cost and profit on cost of 15.0%.

4. Security and support

- First registered mortgage over 41 Kent Street, Ultimo (freehold, about 1,850 sqm).
- General security deed over all present and after-acquired property of the Borrower.
- Assignment of the building contract, agreements for lease, development approval and consultant reports, with builder and consultant step-in deeds.
- Guarantees from Moretti Family Holdings Pty Ltd and the principal Moretti entities, in a form and amount to be agreed.
- Registered interest rate hedging arrangements, on terms acceptable to the Lender.

5. Indicative covenants

Covenant	Indicative test
LVR on cost	Not above 52.5% at any drawdown
LVR on as-if-complete value	Not above 50.0% on any updated valuation
Pre-leasing	Not below 38% by NLA throughout construction
Hedging	At least 70% of forecast drawn balance
Cost to complete	Facility and equity in balance at each drawdown

Financial and project covenants, subject to credit approval

6. Conditions precedent

- Credit approval and satisfactory legal, tax and insurance due diligence, with Ashby Rennick Lawyers acting for the Borrower.
- Executed agreements for lease over 5,168 sqm confirmed, with tenant covenant and incentive terms reviewed.
- Reliance on the Brennan Whitlock valuation and the Cardew Hollis report, with an independent project monitor appointed.
- Injection of A$24.0M cash equity and evidence of land title free of other encumbrances.
- Hedging strategy agreed, as it is not confirmed in the information memorandum.
- Builder performance security, contractor insurance and a Green Star Buildings and NABERS Energy 5 Star compliance plan.

7. Key matters for credit review

Credit approval will focus on leasing risk, with 62% of NLA uncommitted, and on exit value, where a 50 basis point softening in the capitalisation rate would reduce value by about A$13M. It will also consider floating rate exposure, any cost increases requiring further sponsor funding, and key person concentration within the Moretti family given group net debt of A$38.5M and leverage of 3.9 times on LTM EBITDA of A$9.8M.

8. Status

This term sheet is indicative and non-binding. It does not constitute a commitment to lend and remains subject to credit approval, satisfactory due diligence, documentation and the conditions above. Pricing and terms may change before approval.

Prepared by	Quillwood Credit Partners, Real Estate Finance
Issued	30 April 2026
Acknowledged for the Borrower	Signature and date to be completed

Sign-off